

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

GREATWAY LOGISTICS GROUP, LLC, *Complainant*

v.

OCEAN NETWORK EXPRESS PTE. LTD., *Respondent*.

DOCKET NO. 21-04

Served: July 16, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING MOTION TO STAY

I. Introduction

Greatway Logistics Group, LLC (“Greatway”) initiated this proceeding by filing a complaint alleging that Ocean Network Express Pte. Ltd. (“ONE”) violated 46 U.S.C. §§ 41102(c) and 41104(a)(4)(E) of the Shipping Act of 1984, and 46 C.F.R. § 545.4(d) of the Federal Maritime Commission (“Commission” or “FMC”) regulations in connection with actions undertaken by ONE to collect certain freight, demurrage, and storage charges from a non-party to two bills of lading for ocean transportation of pine plywood from Brazil to the United States.

On June 10, 2021, the Secretary of the Commission served a notice of filing of complaint and assignment (“Notice”), assigning the complaint to the Office of Administrative Law Judges for adjudication. On June 11, 2021, a motion for leave to intervene was received from the Commission’s Bureau of Enforcement (“BOE”) pursuant to 46 C.F.R. § 502.68(c)(2)(ii) of the Commission’s Rules of Practice and Procedure. On June 14, 2021, an initial order was issued, instructing the parties to submit a joint status report with “a joint proposed schedule that completes discovery within 150 days of service of the answer and allows issuance of the initial decision within one year.” Initial Order at 1.

On June 25, 2021, a motion to stay this proceeding or, alternatively, motion for additional time (“Motion”) was received from ONE. On June 28, 2021, ONE also submitted a status update regarding an ancillary lawsuit between the parties in the U.S. District Court for the Southern District of Texas based on the same two bills of lading (*Ocean Network Express Pte. Ltd. v. Pacific Lumber Resources, Inc.*, Civil Action No. 4:20-CV-1734 (S.D. Tex. 2020) (“District Court Litigation”). On July 2, 2021, ONE submitted an answer to the complaint. On the same day, Greatway filed an opposition to ONE’s motion for stay (“Opposition”).

In the motion, ONE requests the issuance of an order staying this proceeding, including BOE's motion for leave to intervene, pending the adjudication of a petition for reconsideration filed by Greatway regarding an order issued in the district court litigation dismissing Greatway's counterclaim for attorney fees. In the event that its motion for stay is denied, ONE asks that it be granted thirty days to submit other filings. For the reasons set forth below, ONE's motion to stay is denied. Deadlines are provided for responding to BOE's pending motion to intervene and to file the joint status report with proposed schedule required by the initial order.

II. Argument of the Parties

ONE argues that a temporary stay while the district court decides the petition for reconsideration would serve judicial economy. Motion at 4. In addition, ONE argues that a number of factors weigh in favor of granting a stay, including that the district court is the forum which first assumed jurisdiction; granting a stay avoids piecemeal litigation; Gateway's complaint appears both vexatious and reactive in nature; Greatway's alleged injuries in its counterclaim, and before the FMC, consist solely of its attorney fees, which "is neither an issue distinctly involving the nuances of Shipping Act, nor an issue within the exclusive jurisdiction of the FMC;" and the remaining factors – adequacy of the fora and any inconvenience presented by the fora – are neutral in terms of whether to grant the stay. Motion at 5-7.

Greatway opposes the motion for stay, arguing that the district court litigation and FMC proceeding "are not duplicative in nature and thus denial of a stay in this case will not adversely impact judicial economy or efficiency." Opposition at 3. In addition, Greatway asserts that the factors discussed by ONE weigh in favor of denial of ONE's motion for stay because the district court asserted jurisdiction over the COGSA-governed breach of contract claims, not the Shipping Act violations being adjudicated in this proceeding; the Commission is not an inconvenient forum; piecemeal litigation would not occur in this situation because the district court litigation arises from breach of contract claims while the complaint in the instant proceeding alleges Shipping Act violations; the Commission has exclusive jurisdiction to administer Shipping Act claims while the district court does not have jurisdiction to administer Shipping Act claims thus the Commission is the only adequate forum; and, the complaint is neither vexatious or reactive in nature. Opposition at 4-7. Greatway did not address ONE's motion for additional time.

III. Analysis

a. Motion to Stay

The Commission may grant a request to stay a proceeding, however, the party seeking a stay has the burden to demonstrate the need for the stay. The authority to stay a proceeding was discussed by Justice Cardozo, who wrote that "the power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants." *Landis v. North American Co.*, 299 U.S. 248, 254 (1936).

Commission precedent holds that even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act. This precedent was described in a prior proceeding:

To elaborate, section 8(c) of the Shipping Act, now codified at 46 U.S.C. § 40502(f), provides: “Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” In *Cargo One*, the question was whether this provision precluded Commission jurisdiction over complaints alleging Shipping Act violations related to service contracts.

While section 8(c) reasonably precludes the Commission from adjudicating breach of contract claims, the courts more properly equipped to address those matters are not authorized to address Shipping Act matters exclusively within the Commission’s jurisdiction. Such issues are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action. Moreover, as noted *supra*, reliance on the Commission to pursue such violations *sua sponte* in its investigatory role would eviscerate the reparations remedy afforded complainants by the statute. Therefore, we find that the ALJ should proceed to consider those claims.

Cargo One, [Inc. v. Cosco Container Lines Co. Ltd, 28 S.R.R. 1635, 1645 (FMC 2000)].

Relying on the principles stated in *Cargo One*, the Commission has held that jurisdiction over a complaint alleging violations of the Shipping Act exists even though a proceeding in another forum may have resolved some issues between the parties. For instance, prior to filing its complaint with the Commission, one complainant had sought and obtained an arbitration award of several hundred thousand dollars against the Commission respondent. The complainant filed a complaint with the Commission alleging Shipping Act violations and seeking another million dollars. The Commission reversed the order of the administrative law judge dismissing the complaint and remanded for further proceedings on the Shipping Act claims set forth in the complaint. The Commission held that the fact that the service contract between the parties required arbitration:

does not outweigh the Commission’s duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act. . . . To preclude Anchor from proceeding with its complaint solely because a private arbitrator previously issued a ruling would be inconsistent with our statutory mandate to hear such complaints.

Anchor Shipping Co. v. Aliança Navegação E Logística Ltda., 30 S.R.R. 991, 998 (FMC 2006). The Commission stated that “[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any disputes previously addressed by the Arbitrator that are based upon common law breach of contract claims shall remain binding upon the parties.” *Id.*, at 999-1000.

Baltic Auto Shipping, Inc. v. Hitrinov, 33 S.R.R. 1230, 1232-33 (ALJ 2015) (Order Denying Request for Stay).

“[A]lleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.” *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014) (citing *Gov’t of Guam v. American President Lines*, 28 F.3d 142, 144 (D.C. Cir. 1994) (affirming a district court’s dismissal of a Shipping Act claim due to lack of jurisdiction); *D.L. Piazza Co. v. West Coast Line*, 210 F.2d 947, 948 (2d Cir. 1954) (explaining that “the Federal Maritime Board has exclusive primary jurisdiction over” matters “under the Shipping Act”)).

Although the district court litigation was filed prior to this proceeding, the allegations raised in this proceeding are different from the allegations raised in that case. In the district court litigation, breach of contract claims are alleged against multiple parties, while in this proceeding Greatway alleges violations of 46 U.S.C. §§ 41102(c) and 41104(a)(4)(E) of the Shipping Act, as well as 46 C.F.R. § 545.4(d) of the Commission’s Regulations. Thus, the Commission and the district court are adjudicating different issues.

Because district courts do not have jurisdiction to decide Shipping Act claims, granting a stay would not promote judicial economy. Moreover, the FMC is not an inconvenient forum as this case can likely be resolved without in-person hearings. Additionally, because district courts cannot adjudicate claims of violations of the Shipping Act, the factors involving avoidance of piecemeal litigation, which law provides the rule of decision on the merits, and the adequacy of the district court litigation to protect the parties’ interests when Shipping Act violations are raised, all weigh against granting the stay. The Commission is the only forum that can resolve the Shipping Act claims. Further, it does not appear that the detailed complaint is vexatious or reactive in nature as the allegations raised involve plausible Shipping Act issues.

As Shipping Act violations are raised in this proceeding and respondent is a regulated entity, the Commission has jurisdiction over this proceeding. The Commission recently issued an Interpretive Rule addressing detention and demurrage and has an interest in ensuring that demurrage and detention practices adhere to Shipping Act requirements. *See Interpretive Rule on Demurrage and Detention under the Shipping Act*, 85 Fed. Reg. 29,638 (May 18, 2020). The Commission has an obligation to adjudicate plausible Shipping Act claims and the Commission has provided a one-year deadline for the initial decision in this proceeding to be issued. Accordingly, the request for a stay is denied.

b. Motion for additional time

Should its motion for stay be denied, ONE asks that it be given thirty days “to answer, move, or otherwise respond to the Complaint,” to respond to BOE’s motion for leave to intervene, and to discuss settlement with Greatway and BOE. Motion at 8. Greatway did not address ONE’s request for additional time. ONE has filed their answer and there is a pending motion filed by BOE.

Any responses to BOE's motion to intervene should be filed by August 2, 2021. In addition, the parties should file their joint status report with proposed schedule by August 16, 2021. Given the discussion above, it is likely that discovery will be required prior to filing any motions. To expedite this proceeding, any discovery exchanged in the district court litigation may be used in this proceeding. The joint status report should provide a proposed timeline for completing discovery. In addition, the parties are encouraged to talk with each other and BOE regarding settling this proceeding. If a settlement is reached, the parties must file a motion requesting approval with a copy of the settlement agreement attached.

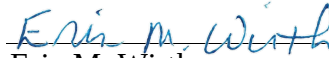
IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that ONE's motion for stay be **DENIED**. It is

FURTHER ORDERED that responses to BOE's motion to intervene be filed by August 2, 2021. It is

FURTHER ORDERED that the parties shall file a joint status report with proposed schedule by August 16, 2021.



Erin M. Wirth
Chief Administrative Law Judge